Daljit Singh And Another vs Hari Steel & General Industries Ltd. And ... on 24 July, 2017

Equivalent citations: AIR 2018 (NOC) 225 (DEL.), 2017 (6) ADR 729, (2017) 179 ALLINDCAS 21 (DEL), (2017) 241 DLT 746, (2017) 4 CIVILCOURTC 576

Author: Vipin Sanghi

Bench: Vipin Sanghi

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* IN THE HIGH COURT OF DELHI AT NEW DELHI

Order reserved on: 21.07.2017
% Order delivered on: 24.07.2017

+ I.A. No.1557/2007 in CS(OS) 2046/2006
DALJIT SINGH AND ANOTHER ..... Plaintiffs
Through: Mr. A.S. Chandiok, Senior Advocate along with Ms. Manmeet Arora & Mr. Rishabh Bansal, Advocates.

versus

HARI STEEL & GENERAL INDUSTRIES LTD.
AND ORS. ..... Defendants
Through: Mr. Vikram Saini, Mr. Manish Aggarwal, Ms. Chhaya Sharma & Ms. Prerna Ajmani, Advocates for defendants No.1 to 6.
Mr. Harish Malhotra, Senior Advocate along with Ms. Vibha Mahajan Seth, Advocate for defendant No.8.

CORAM:
HON'BLE MR. JUSTICE VIPIN SANGHI

JUDGMENT

VIPIN SANGHI, J.

1. This is an application filed by plaintiffs, Daljit Singh and Sarvjit Singh, under Order 12 Rule 6 r/w Section 151 of the Code of Civil Procedure to seek judgment/decree in terms of the prayer made in the suit.

The Plaintiffs have filed the suit praying for a decree of specific performance of an agreement to sell concluded on 07.04.2005 and further recorded on 03.05.2005 between the Plaintiffs and Defendant

No.1 company in respect of property bearing No. A-22, Mohan Cooperative Industrial Estate, Mathura Road, New Delhi. The Plaintiffs also seek a decree of permanent injunction against the defendants to restrain them from selling, transferring or encumbering the suit property to third party, and a permanent injunction against Defendant No. 2 to 6 from transferring or encumbering their shareholding of 10,00,000 shares in the Defendant No. 1 Company. The reliefs sought in the application are premised on the claimed admissions made by Defendant no. 1 to 6 in their written statement or otherwise.

2. As per plaint, defendant No. 2 - the Managing Director and the Principal Shareholder of Defendant No. 1 company, approached the plaintiffs for the sale of the suit property and the business carried on under the name and style of "South Delhi Toyota" including the goodwill of the said business. Defendant no. 2 to 6 are family members, and shareholders of defendant no. 1 Company. The plaintiffs claim that Defendant No.2 held out that he was the person responsible for, and in charge of the affairs of the defendant no.1 company and, therefore, was duly authorized to execute contracts and make promises on behalf of the defendant No.1 Company. Defendant no.2 expressly represented to the plaintiffs that defendant no.1 company is the absolute owner in possession of the suit property, free from all encumbrances, except claims of the DDA on account of the alleged misuse on the property, as well as sub-division of the premises. Defendant no.2 further represented to the plaintiffs that he is the authorized franchisee of Toyota Kirloskar Motors Pvt. Ltd. for trading and servicing the Toyota brand of cars and vehicles. The showroom is operated under the name and style of "M/s. South Delhi Toyota" in one half portion of the suit property. Defendant no.2 also represented that he had assigned his dealership rights from Toyota Kirloskar Motors Pvt. Ltd. in favour of defendant No.1 Company.

3. The plaintiffs further claim that on 07.04.2005, the plaintiffs and defendant no.1 company - through its Managing Director defendant no.2, arrived at a concluded agreement for the sale of the said property and transfer of the goodwill and franchise rights held in respect of the running business of South Delhi Toyota for a total consideration of Rs.55,50,00,000/- (Rupees Fifty Five Crores and Fifty Lacs Only). The plaintiffs further agreed to pay to the defendants the difference between the assets and liabilities of the dealership business in terms of the conditions stipulated in the agreement. In pursuance of the said agreement dated 07.04.2005, the plaintiffs paid an amount of Rs. 2 crores to Defendant No. 1

- Rs 1 crore in cash, and Rs. 1 crore by cheque. The receipt of the same was acknowledged by defendant No. 2 as Chairman-cum-Managing Director of Defendant No. 1 on the letter head of Defendant No. 1. The plaintiffs further state that an agreement to sell dated 03.05.2005 was executed in pursuance of the agreement dated 07.04.2005, which sets out in detail three distinct items forming subject matter of the agreement, and the respective sale consideration payable for each of these items.

4. The breakup of the total consideration disclosed in the agreement is as follows:

1 Rs.49,00,00,000/- For the purchase of the land and building at A-22, Mohan Coop.

Industrial Estate, Mathura Road, New Delhi.

2 Rs. 6,50,00,000/- For the purchase of the running business of 3S Dealership of Toyota Kirloskar Motor Pvt Ltd carried on in the name and style of 'South Delhi Toyota'.

3 Difference in the value To be ascertained.

of the assets and liabilities of the running business i.e. the net worth of South Delhi Toyota, on the basis of the balance sheet agreed to be furnished as on 15.06.2005, to be transferred on 30.06.2005.

5. The plaintiffs state that they paid a further amount of Rs. 3 Crore on 03.05.2005 to Defendant No. 1 Company as recorded in the said agreement itself. In the agreement dated 03.05.2005 the aspect of payment of part consideration is recorded as follows:

> "2 (a) That out of the total consideration of Rs.55,50,00,000/- (Rs. Fifty five Crores Fifty Lacs Only) the purchasers have paid to the vendor a sum of Rs.5,00,00,000/- (Rs. Five Crores Only) as part consideration; at the time of execution of this Agreement to Sell in the following manner:
>
> a) Cheque no. 840711 dt 7.4.2005 drawn on ICICI Bank, Punjabi Bagh West, New Delhi - Rs.1,00,00,000/- (Rs.

One Crore only).

b) Cheque no. 840633 dt 28.4.2005 drawn on ICICI Bank, Punjabi Bagh West, New Delhi - Rs.1,00,00,000/-

c) Cash - Rs.3,00,00,000/- (Rs. Three Crores only) The receipt of which the vendor hereby acknowledges."

6. Plaintiffs further state that on 24th Nov, 2005 summons were received from office of Assistant Commissioner of Police, Economic Offences Wing, Anti-Land & Building Racket Section, Delhi Police, in respect of a complaint filed by one Praveen Kumar Jolly (subsequently impleaded in the suit as defendant No.8), claiming rights in one half portion of suit property on the basis of MOU dated 24.05.2003 executed with defendant No.1 company. Thereafter, the plaintiffs made further

inquiries which revealed that the said Praveen Jolly (Defendant No. 8) had also filed a Civil Suit on or around 28th October 2005 as CS(OS)1508/2005 titled "Praveen KumarJolly Vs. M/S Hari Steel & General Industries Ltd & Anr." seeking specific performance of an alleged MoU dated 24.05.2003. The plaintiffs further state that defendants have categorically admitted the execution of the agreement to sell with the plaintiffs herein, in CS(OS) 1508/2005, filed by Shri Praveen Kumar Jolly.

7. The present application under Order 12 Rule 6 CPC was filed by the plaintiffs on 09.02.2007, seeking relief on the basis of the claimed admissions made by Defendant No.2 to 6 on 20.12.2006 in the proceedings arising out of Bail Application Nos. 4109-4110/2006 in FIR No. 517/2006 under Section 420/ 120-B IPC registered against defendants no. 1 to 6 on the complaint made by Praveen Jolly at PS - Sarita Vihar. It was alleged in the said FIR that the defendants no. 2 to 6 cheated defendant no. 8 by entering into multiple agreements for sale of the same property. The plaintiffs submit that the defendants have categorically admitted their readiness and willingness to execute a sale deed with respect to suit property in favor of the plaintiffs in terms of the agreement dated 03.05.2005 in the proceedings undertaken in the said Bail Application.

8. The submission of Mr. Chandhiok, learned senior counsel for the plaintiffs is that while seeking anticipatory bail vide Bail Application Nos.4109-4110/2006 in case FIR No.517/2006 referred to above, the applicants, including defendant No.2, inter alia, admitted that they had entered into the MOU dated 03.05.2005 with the plaintiffs, to whom they had agreed to sell the entire property for Rs.55.50 Crores. In the Bail proceedings, the submission of counsel representing the bail applicants, including defendant No.2 herein, was that:

> "... ... ... even today that his clients are prepared to return the balance amount of Rs.2.90 crores to the first buyer Praveen Jolly immediately with reasonable interest that may be fixed by the Court and this contention is made in order to show the bona-fides on the part of the petitioners that they never intended to cheat either the first buyer or the second buyer. The learned counsel for the petitioners has further submitted that his clients and also ready and willing to execute sale deed of the property in question in favour of the second set of buyers in terms of MOU dated 03.05.2005."(Emphasis supplied)

9. Mr. Chandhiok submits that in view of the aforesaid statement made by the defendants in the bail proceedings, they are bound to fulfill their obligations under the agreement to sell dated 03.05.2005, which is not in dispute.

10. Mr. Chandhiok submits that the accounts/ balance sheet as at 31.08.2007 of defendant No.1 placed on record shows under the heading "Cash & Bank Balance", the cash receipt against sale of property as Rs.4 Crores in the custody of defendant No.2. It also shows under the heading "Deposits from" in "Schedule - VIII Current Liabilities", receipt of Rs.5 Crore from "M/s Daljit Singh & Sarvjit Singh". Mr. Chandhiok submits that this balance sheet has been signed for and on behalf of the defendant No.1 by defendant No.2.

11. Mr. Chandhiok has also sought to place reliance on the statement of defendant No.2 recorded in the present suit and in C.S.(O.S.) No. 1508/2015 on 29.01.2007 under Order X CPC. The defendant No.2 accepted the fact that the agreement dated 03.05.2005 was entered into between the parties for sale of the whole property for a total consideration of Rs.55.50 Crore and that the said agreement was in respect of the land and building for Rs.49 Crores, and for the goodwill of the business of South Delhi Toyota, for Rs.6.5 Crores. He submits that the business of South Delhi Toyota having been discontinued, the plaintiffs are entitled to enforce the agreement qua the immovable property.

12. In his statement recorded on 29.01.2007, defendant No.2 admitted, as correct, that S.R. Varshney & Co. were the Chartered Accountants. He also admitted that the letter dated 14.11.2005 was addressed by S.R. Varshney to defendant No.1 company and to him (which was given exhibit mark as Ex.

'X'). Mr. Chandhiok submits that this letter dated 14.11.2005 (Ex. 'X') addressed to defendant No.2 in his capacity as Managing Director of defendant No.1, inter alia, states that:

> "3. We were also informed that you have further entered into an agreement with Sh. Daljit Singh and Sh. Sarvjit Singh for the sale of whole of property and the running business of your car -dealership M/S SOUTH DELHI TOYOTA on 03.05.2005. You received the following payments as advance.
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> (a) By cheques Rs.2,00,00,000
> (b) In Cash Rs.3,00,00,000
> Rs.5,00,00,000
>
> 4. The perusal of accounts show a deposit of Rs.2,00,00,000/- only and the cash receipt of
>
> Rs.3,00,00,000/- is not accounted for in the books of account of the company.
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> Your accounts staff has informed us that the cash of Rs.3,00,00,000/- is in your personal custody."

13. Mr. Chandhiok submits that the aforesaid balance sheet was filed only after a notice to produce the same was given to the defendants dated 03.11.2011; the same was not complied with; the plaintiffs filed I.A. No. 150401/202 under Order XI Rule 12 & 14 CPC seeking direction to produce, inter alia, the said balance sheet; the said application was contested by the defendants by filing their reply, and; the passing of the order dated 10.01.2004 by the learned Joint Registrar allowing the said application and directing production of the balance sheet in question.

14. Mr. Chandhiok submits that the aforesaid displays the conduct of the defendants in seeking to withhold the incriminating documents, namely the balance sheet of defendant No.1 company - which recognizes and acknowledges receipt of Rs.4 Crores towards sale of the property in question, which is now sought to be denied by the defendants.

15. Mr. Chandhok has sought to place reliance on the judgment of this Court in Sunrise Construction Vs. Ms. Veena Wahi, ILR (2009) VI Delhi 38, wherein this Court passed a decree for specific performance on admission under Order XII Rule 6 CPC. In this case, the defence of the defendant was that she had signed the receipt containing the terms of the agreement in good faith, and the same did not reflect the actual transaction between the parties. The Court rejected the said defence, while relying upon Sections 91 & 92 of the Evidence Act, and in the face of the admitted document Ex.PW-1, which was the receipt dated 18.09.2007.

16. Mr. Chandhiok submits that the said decision squarely applies in the facts of the present case. Thus, Mr. Chandhiok submits that the present suit

- so far as the relief of specific performance is concerned, should be decreed in respect of the suit property, since the plaintiffs have always been, and are even now ready & willing to complete the transaction by making payment of the balance consideration under the agreement towards sale of the property.

17. On the other hand, learned counsel for the defendants No.1 to 6, has vehemently opposed the present application. He submits that far from making any admission, the defendants No.1 to 6 have seriously disputed the genuineness of the agreement dated 03.05.2005, since two pages of the original agreement signed by defendant No.2, i.e. pages 3 & 4, have been replaced and substituted by pages which bear forged signatures of defendant No.2. He submits that the consistent stand of the defendants is that though the agreement had been arrived at between the parties for sale of the suit property, goodwill and assets of the defendant company, for Rs.55.50 Crores plus, only an amount of Rs.2 Crores had been received by the defendants, and not Rs.5 Crores, as claimed by the plaintiffs.

18. He submits that additional issues have been framed in the suit on 05.05.2010 including the issue:

> "(2) Whether pages 3 and 4 of the agreement dated 3rd May, 2005 have not been executed by defendant No.2 and there are insertions/ interpolations in the agreement? If so, to what effect? OPD-1 to 6"

19. Learned counsel for defendants No.1 to 6 submits that in view of the said issue of fact having been framed - which goes to the root of the matter, it would be premature to assume, at this stage, that the agreement produced by the plaintiffs dated 03.05.2005 is the genuine and binding agreement between the parties. He places reliance on the decision of a Division Bench of this Court in Express Towers P. Ltd. Vs. Mohan Singh, 2007 (97) DRJ

687. In paragraph 13 of this decision, the Court, inter alia, observed:

> "13. It is well settled that pleadings including written statement have to be read as a whole to decide whether there is unequivocal and clear admission by a party. The respondent nos. 1 and 2 have denied executing any documents or sale deeds in favour

of the defendant nos. 3-5 in the plaint. It is claimed that their signatures have been forged and the persons responsible must be brought to book and prosecuted.

The defendants Nos. 3-5 have not appeared in the Suit and have been proceeded ex-parte. As noticed by the learned Single Judge, the Court has not proceeded under Order VIII and passed any decree. The appellants herein being the plaintiffs have been asked to lead evidence on the pleas and contentions raised. It is only after evidence is led and the respective claims and stands are adjudicated that it can be decided whether the alleged sale deeds are forged, fabricated and fictitious documents. The Court will also examine whether the appellants or the respondent nos. 1 and 2 were responsible for executing the said documents." (emphasis supplied) The Division Bench dismissed the first appeal against the order passed by learned Single Judge dismissing the plaintiff's application under Order XII Rule 6 CPC. He also placed reliance on Raj Kumari Garg Vs. S.M. Ezaz, 2012 (132) DRJ 108.

20. Learned counsel for defendants No.1 to 6 submits that the forgery and fabrication of the agreement dated 03.05.2005 by the plaintiffs came to light when the said agreement was produced by the plaintiff in C.S.(O.S.) No. 1508/2005 - Mr. Praveen Kumar Jolly. Immediately on receipt of the copy of the agreement dated 03.05.2005, the defendants herein moved I.A./ Crl. M.A. No. 61/2006 in C.S.(O.S.) No. 1508/2005 under Section 340 Cr.P.C., challenging the genuineness of the agreement dated 03.05.2005. He submits that till the issue about the genuineness of the agreement dated 03.05.2005 is decided finally, no decree for specific performance could be passed, premised on the said disputed agreement.

21. Learned counsel for defendants No.1 to 6 has also referred to the averments made by the defendants in paragraph 2 of the written statement under the heading "Preliminary Objections", and paragraphs 4, 5 & 8 under the heading "Preliminary Submissions", which read as follows:

PRELIMINARY OBJECTIONS:-

"2. The Defendants raise preliminary objection to the very maintainability of the plaint on the ground that the proceedings initiated by the Defendants vide I.A. No. 61 of 2006 in CS (OS) No. 1508 of 2005 under Section 340 Cr.P.C. challenging the genuineness of the Agreement dated 3.05.2005 is still pending before this Hon'ble Court. In view of the above, the present suit is liable to be dismissed at the threshold stage itself." (emphasis supplied) PRELIMINARY SUBMISSIONS:

"4. The Defendant No.1 to 6 state that although an arrangement was entered into with Mr. Daljit Singh and Mr. Sarvjit Singh for the sale of land admeasuring 19074.69 sq. yards bearing No. 22, Mohan Cooperative industrial Estate, Mathura Road, New Delhi -110-004 but the same was never concretized into an agreement as the nature, extent and various clauses as also the amount of consideration were yet to be

> finalized. This is also evident from the fact that almost all the necessary columns were left blank to be filled in after mutual agreement only. The incomplete/unsigned document, which was taken away and was lying either with Mr. Daljit Singh and Mr. Sarvjit Singh, or with Mr. T.R. Arya, who, with vested interest, had been instrumental all-through in negotiating/influencing the purported transaction."

(emphasis supplied) "5. That when a copy of the said document was produced in the ongoing proceedings of Civil Suit (O.S) No. 1508 of 2005, the Defendant No.2 was shocked to see that not only the columns which were left blank had been filled up with distorted facts and figures, but the document also bore the forged signatures of the Defendant No.2. The statement of Defendant No.2 recorded before this Hon'ble Court testifies to the forgery/ fraud committed by the Plaintiffs.

Copy of the statement/ deposition of Defendant No.2 in C.S. (OS)00 1508 of 2005 on 28th February 2006 is annexed as ANNEXURE -A." (emphasis supplied) "8. The Defendants also state that an amount of Rs.2 Crores was intentionally taken by Mr. T.R. Arya from the Plaintiffs in May 2005 in the absence of Mr. Ram Dilawri allegedly for running of the business of the Company. The ploy was devised by Mr. T.R. Arya only to mount pressure on the Defendants to yield to the unscrupulous methods of the Plaintiffs to part with the subject property. However on coming to know about the said amount having been taken by Mr. T.R. Arya, in the name of the Company the Defendant No.2 immediately returned the said amount to the Plaintiffs."(emphasis supplied)

22. Learned counsel for defendants No.1 to 6 has also drawn the attention of the Court to paragraphs 2 & 3 of I.A./ Crl. M.A. No. 61/2006 in C.S.(O.S.) No. 1508/2005 under Section 340 Cr.P.C., which reads as follows:

> "2. The Defendant No.1 states that although an arrangement was entered into with Mr. Daljit Singh and Mr. Sarvjit Singh but the same was never concretized in an Agreement as its nature, extent and various clauses as also the amount of consideration were not finalized. This is also evident from the fact that almost all the necessary columns were left blank to be filled in after mutual agreement only. Consequently, the document, which was incomplete remained unsigned. The unsigned document was taken away by and is still lying either with Mr. Daljit Singh and Mr. Sarvjit Singh, or with Mr. T.R. Arya, who, with vested interest, had been instrumental all- through in negotiating/influencing the purported transaction.
>
> 3. That when a copy of the said document was produced in the ongoing proceedings, the Defendant No.1 was shocked to see that not only the columns which were left blank had been filled up with distorted facts and figures, but the document also bore the forged signatures of the Director of the Defendant No.1. Furthermore, even the date of the alleged Agreement and the clauses stating about the payment of rupees three crores in cash, in addition to two cheques of rupees one crore each, were falsely and fraudulently incorporated." (emphasis supplied)

23. Learned counsel for defendants No.1 to 6 has placed reliance on Shanti Kumar Panda Vs. Shakuntala Devi, 2004 Crl.L.J. 1249, wherein the Supreme Court has held that a decision by a Criminal Court does not bind a Civil Court, while a decision of a Civil Court binds a Criminal Court. He, therefore, submits that the submissions of the accused/ bail applicants, i.e. the defendants herein recorded in the order dated 20.12.2006, are of no avail to the plaintiffs.

24. Learned counsel for defendants No.1 to 6 further submits that in view of the pendency of C.S.(O.S.) No. 1508/2005 filed by Praveen Kumar Jolly in respect of the earlier agreement to sell, wherein an order of status quo has been passed on 28.10.2005, no decree of specific performance can be passed in favour of the plaintiffs in the present suit. He submits that the Doctrine of lis pendens contained in Section 52 of the Transfer of Property Act would apply in the facts of the present case.

25. Learned counsel for defendants No.1 to 6 has also placed reliance on Guruswamy Nadar Vs. P. Lakshmi Ammal (Dead) Through LRs. and Others, (2008) 5 SCC 796 : AIR 2008 SC 2560, and Har Narain (Dead) by LRs Vs. Mam Chand (Dead) by LRs and Others, (2010) 13 SCC 128.

26. In his rejoinder, Mr. Chandhiok has submitted that the plaintiffs are willing to give an undertaking that the decree for specific performance that may be passed in favour of the plaintiffs, would be subject to the relief that may be granted in the suit preferred by Praveen Kumar Jolly, i.e. C.S.(O.S.) No. 1508/2005. He points out that the defendants herein filed their reply to I.A. No. 8899/2005 - filed by the plaintiff Praveen Kumar Jolly in C.S.(O.S.) No. 1508/2005. Along with the said application, the plaintiff in the said suit - Praveen Kumar Jolly, filed the copy of the agreement dated 03.05.2005 between the plaintiff and the defendants No.1 to 6 herein. In their reply filed to the said application on 11.11.2005, the defendants No.1 to 6 admitted in paragraph 6:

> "6. ... ... that the Agreement with Daljit Singh and Sarvjit Singh was entered into after the MOU dated 24.05.2003 between the plaintiff and Defendant No.1 came to an end. However, the terms and conditions of the Agreement remain to be fulfilled by the concerned parties. Furthermore, the very Agreement makes it more incumbent on the part of the Plaintiff to deposit the money since he cannot sit pretty by locking in litigation the property worth crores of rupees and derailing any prospective deal on the said property. The Defendant No.1 states that the Plaintiff was aware of the Agreement and it is false that the Agreement was received by the plaintiff through registered post." (emphasis supplied)

> 27. In response to the submission of learned counsel for defendants No.1 to 6 that the doctrine of lis pendens contained in Section 52 of the Transfer of Property Act would be applicable, Mr. Chandhiok submits that on the date when the agreement was entered into between the plaintiffs and the defendants No.1 to 6, i.e. on 03.05.2005, no suit was pending in respect of the suit property, much less C.S.(O.S.) No. 1508/2005.

28. Mr. Chandhiok has also placed reliance on the decision of this Court in I.A. No. 8723/2014 in C.S.(O.S.) No. 299/2012 titled Harbhajan Singh Chopra Vs. Fountain Head Hotels Pvt. Ltd decided on 29.07.2015, to submit that after the relevant facts have been admitted, the mere fact that the defendants have tried to put their own interpretation with a view to defeat the claim of the plaintiffs, would not be sufficient to decline the relief under Order XII Rule 6 CPC. The Court further held that in view of the admissions made, inter alia, in the judicial proceedings, it was not necessary to undertake a trial in the matter which would lead to wastage of time and costs to the parties.

29. Mr. Chandhiok also placed reliance on P.C. Gulati Vs. Lajya Ram Kapur, AIR 1969 (Delhi) 275. In this case, the Court held that merely because multiple suits are pending, the Court would not be justified in keeping all of them pending when one of them could be disposed of on the basis of the admissions made by the defendants. Thus, Mr. Chandhiok submits that pendency of C.S.(O.S.) No. 1508/2005 is no ground to keep the present suit pending in view of the admissions made by the defendants.

30. After the order was reserved initially in the aforesaid application on 28.04.2016, the matter was mentioned by learned senior counsels representing the plaintiffs and the defendant No.8. The Court directed the matter to be listed for directions on 05.05.2016. The plaintiffs also undertook to communicate the date fixed to learned counsel for the defendants No.1 to 6 and the defendant No.7.

31. To obviate the submission of learned counsel for the defendants No.1 to 6 that the prior suit of Mr. Praveen Kumar Jolly (defendant No.8), i.e. C.S.(O.S.) No.1508/2005 is pending wherein an order of status quo is operating, the statement of defendant No.8 Mr. Praveen Kumar Jolly and the plaintiffs were placed on record, inter alia, recording the no objection of defendant No.8 to the passing of a decree in the present case while it being agreed that the plaintiffs in the present suit be bound by the interim order dated 14.11.2005 passed in C.S.(O.S.) No. 1508/2005, and in the event of the said suit being decreed by this Court, the sale deed shall be executed by the plaintiffs in their favour and that the interim order shall continue to operate till the final disposal of C.S.(O.S.) No. 1508/2005 and bind the plaintiffs herein.

32. Having heard learned counsel for the parties and considered their submissions and documents placed on record & relied upon by the parties, I am of the view that there is no merit in the present application and the same deserves to be dismissed.

33. The statement of Mr. Ram Dilawdri, defendant No.2 was recorded by the Court in C.S.(O.S.) No.1508/2005 on 28.02.2006. In this statement, the defendant No.2, inter alia, admitted that the defendant No.1 company had entered into an agreement on 27.04.2005. However, he stated that no date was put on the agreement when it was signed on 27.04.2005. He claimed that the said agreement was in four pages and that

he had signed the said agreement, on each page at two places. He claimed that pages 3 & 4 of the said agreement produced on record had been changed/ replaced. He also claimed that the photocopy of the agreement, which was signed on 27.04.2005, was given to him three days later. He produced a copy of the said photocopy and tendered the same as D-1. He claimed that though the first two pages bear his signature, the signatures on pages 3 and 4 were forged. He claimed that when he signed the said document, the blank spaces were not filled. The blanks were filling in the handwriting of Mr. T.R. Arya, defendant No.7. He claimed that the blanks were filed by Mr. T.R. Arya without his knowledge or concurrence. At the same time, defendant No.2 admitted as correct that the sale consideration agreed for sale of the property was Rs.55.50 Crores. Pertinently, he claimed that he was "given only two Crores by means of two cheques and the payment of Rs.5 Crores shown at page 3 of the agreement is falsely indicated". He claimed that he came to know of the forged document dated 03.05.2005 when the plaintiff moved I.A. No. 8899/2005 (the plaintiff being Praveen Kumar Jolly) and annexed a copy of the said agreement with that application. He stated that when he was shown a copy of the agreement, he had informed his lawyer about the aforesaid facts. He also stated that the receipt annexed as Annexure A-8 to the I.A. No. 8899/2005 was not signed by him, and his signatures were forged. He admitted as correct that the receipt was in the handwriting of Mr. T.R. Arya.

34. The plaintiffs have produced on record their communication dated 20.08.2005 addressed to defendant No.1, marked to the attention of defendant No.2. The said document has been admitted by the defendant during admission/ denial of documents conducted on 04.04.2009 and is exhibited as Ex.P-3. Pertinently, in this document, the plaintiffs stated that they "were supposed to give you an instalment out of the agreed price on 30.06.2005 after getting the balance sheet of the company as on 15.06.2005 and the acquisition of the running business of South Delhi Toyota, yet we gave Rs. Two Crores in favour of Hari Steel & General Industries Ltd. in the month of May 2005. Mr. T.R. Arya requested that for the business needs of the company, a sum of Rs. Two Crores was required." (emphasis supplied)

35. The plaintiffs further stated in Ex. P-3 that on 30.06.2005, upon their visit for the purpose of giving the balance of installment due on 30.06.2005 and to take over the running business of South Delhi Toyota, the plaintiffs were surprised upon being told that the balance sheet as on 15.06.2005 was not ready, and shall take another two months. Paragraph 3 of this communication (Ex. P-3) is pertinent, and the same reads:

"3. You were kind to repay Rs. Two Crores taken by Mr. T.R. Arya for purpose of business of the company in the month of May 2005; because of your non-commitment of handing over the business as on 01.07.2005. We appreciate that business etiquette and ethics on your part; and your promise to honour the agreement by keeping the initial payment of Rs. Two Crores." (emphasis supplied)

36. From paragraph 3 quoted above, it appears that the plaintiffs' own stand was that the defendant had retained "the initial payment of Rs.Two Crores" only, while repaying Rs.2 Crores to the plaintiffs - which had been taken by Mr. T.R. Arya for the purpose of the business of company in the month of May 2005.

37. Thus, on the one hand, there is the communication of the Chartered Accountants of the defendants S.R. Varshney stating that defendant No.2 had received cash payments from the plaintiffs, and; the balance sheet of the defendant No.1 company showing the receipt towards sale of the property of Rs.5 Crores, on the other hand, is the stand taken by the defendants No.1 to 6 that only an amount of Rs.2 Crores had been received from the plaintiffs - through cheque, under the agreement, coupled with the plaintiffs' own communication (Ex. P-3) which shows that the defendants have retained the initial deposit of Rs.2 Crores after returning Rs.2 Crores received by Mr. T.R. Arya.

38. There also appears to be incongruity in the facts and figures inasmuch, as, while the plaintiffs claim to have paid Rs.3 Crores in cash under the agreement, the balance sheet of the defendant No.1 company as on 31.03.2007, relied upon by the plaintiffs shows cash in hand against sale of property in the custody of Mr. Ram Dilawdri, Managing Director, as Rs.4 Crores. All these aspects need indepth scrutiny and analysis post trial, before a definite view can be taken in the matter

39. So far as the communication of the Auditor Mr. S.R. Varshney, is concerned, firstly, it is not a communication of the defendants. Therefore, whatever is stated in the said communication cannot be attributed as an admission by the defendants. Even otherwise, this communication states that "We were also informed that you have further entered into an agreement with Sh. Daljit Singh and Sh. Sarvjit Singh for the sale of whole of property and the running business of your car -dealership M/S SOUTH DELHI TOYOTA on 03.05.2005. You received the following payments as advance.

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 (a)    By cheques Rs.2,00,00,000
(b)    In Cash    Rs.3,00,00,000
                  Rs.5,00,00,000"
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40. It also states that "Your accounts staff has informed us that the cash of Rs.3,00,00,000/- is in your personal custody". This communication, prima facie, appears to be rather vague and non-specific. The Auditor does not state as to who has informed him that under the agreement dated 03.05.2005 cash of Rs.3 Crores had been received and that the same was in the personal custody of the Managing Director Mr. Ram Dilawdri, defendant No.2. This communication also required defendant No.2 "to please confirm us the above facts so that proper accounting entries be made ... ...". There is nothing to show whether defendant No.2 confirmed the information that the auditor may have gathered from the undisclosed source.

41. The aforesaid raises a serious dispute as to whether, or not, the defendants have actually received the amount of Rs.5 Crores under the agreement, as alleged by the plaintiffs, or only Rs.2 Crores by cheque as alleged by defendant Nos. 1 to 6. The defendants have alleged that the two pages of the agreement, which, inter alia, record the receipt of Rs.5 Crores by the defendants under the agreement - including Rs.3 Crores in cash, have been replaced with pages which bear the forged signatures of defendant No.2. On this aspect, additional issues were framed by the Court on 05.05.2010. Since the plaintiffs claim to have made cash payments of a very large amount of Rs. 3 Crores under the agreement, which have been disputed by the defendants, it would be for the plaintiffs to prove the same, inter alia, by showing the availability of such large amounts of cash with them on the relevant dates. In my view, till those issues are decided - which are issues of fact, it cannot be said at this stage with certainty whether the agreement dated 03.05.2005 relied upon by the plaintiffs is the one entered into between the parties, or not.

42. It is well-settled that to entitle a plaintiff to a decree on admission, it is essential that the admission made by the defendant in respect of the plaintiffs case/ claim should be clear and unequivocal. In the present case, the only admission made by the defendants No.1 to 6 is in relation to their entering into the agreement/ MOU with the plaintiffs for sale of the suit property; the goodwill of South Delhi Toyota, and; the net assets of the said business. It was also agreed that the sale consideration for the suit property was Rs.49 Crores; for the goodwill of the business of South Delhi Toyota was Rs.6.50 Crores and; for the sale of the net worth of the business of South Delhi Toyota, the same amount was to be transferred to the defendants. To this extent, it could be said that there are admissions made by the defendants No.1 to 6. However, there is a serious dispute as to whether the plaintiffs have paid Rs.5 Crores, i.e. Rs.2 Crores by cheque and Rs. 3 Crores in cash to defendants No.1 to 6, or only Rs.2 Crores by cheque. This dispute goes to the root of the matter. Unless and until the said dispute is resolved in favour of the plaintiffs, no decree for specific performance of the agreement can be passed by the Court. Pertinently, the Court has already framed issues of fact on the aforesaid aspect.

43. In the light of the aforesaid discussion, I do not consider it necessary to deal with the case laws or go into the other aspects or submissions advanced by learned counsels. Consequently, I find no merit in the present application and dismiss the same with costs of Rs.50,000/- payable to defendants No.1 to 6. The costs be paid within two weeks.

44. It goes without saying that the observations made in this order shall not prejudice the case of either party at the time of consideration of the merits of the case post trial.

(VIPIN SANGHI) JUDGE JULY 24, 2017